MIC Electronics Ltd

Concall tracker · filed under Q2 2027 (quarter to Sep 2026) · NSE: MICEL · BSE: 532850 · prepared 11 Nov 2026

1. Snapshot

Hyderabad company that makes LED display boards and passenger information systems (the train-arrival boards, coach guidance boards and platform clocks you see at stations) mostly for Indian Railways. Through its Dubai subsidiaries and the newly bought Singapore firm Neo Semi it also trades electronics parts and commodities, which now makes up most of the group's sales.

Number	Value	Plain read
Market value	₹1,183 cr	What the stock market prices the whole company at today.
FY26 sales (own business, standalone)	₹87 cr	The railway display business, up about two-fifths on the year before.
FY26 sales (group, consolidated)	₹191 cr	More than double the own business, because the Dubai trading arm adds low-margin resale.
FY26 pre-tax profit (standalone)	₹16 cr	The business made money before tax, up from ₹13 cr.
FY26 net result	Loss of ₹13 cr	Only because ₹29 cr of old tax credits from FY18 losses expired and were written off. Non-cash, one-off.
Debtor days (FY26)	about 430 days	Customers take well over a year to pay on average. That's the big weak spot.
Bank loans	about ₹48 cr	Modest next to a net worth that is now about ₹449 cr after the share swap.
Promoter holding	41.7% (Sep 2026), from 74.6% (Dec 2023)	Promoter stake keeps falling through share issues; the swap handed about a fifth of the company to foreign funds.

2. Coverage

No concall transcripts were available on Screener, and MIC held no earnings calls in the period. This report is based on a global web deep-dive. Sources: NSE corporate filings Jan 2025 to Nov 2026 (quarterly results incl. Q2 FY27 on 7 Nov 2026, board outcome of 30 Mar 2026 on the Neo Semi deal, share allotment of 4 Sep 2026, AGM proceedings 16 Sep 2026, Brickwork rating letter 13 Aug 2026, order and product-approval filings), the FY26 management discussion in the annual report, and press coverage (Angel One, HDFC Sky, The Machine Maker, Arihant Capital).

Latest update highlights: Q2 FY27 results (7 Nov 2026)

- Own-business sales ₹25 cr, about double a year ago and double the June quarter. The display business shipped much more this quarter.
- Pre-tax profit ₹3.6 cr vs ₹2.2 cr a year ago. Up, but slower than sales: operating margin fell to about 23% from about 31%, as material costs jumped.
- Group sales ₹91 cr. Most of it (₹66 cr) is the electronics parts trading arm earning under ₹1 cr, so the group number flatters the real business.
- Neo Semi became a 59% subsidiary on 4 Sep 2026 via a share swap. The cash leg for another 30.65% (₹122 cr) isn't done yet. The deal brought ₹215 cr of goodwill onto the books.

- Tone in filings: upbeat on a "design to refurbish" electronics ecosystem and a new defence subsidiary (set up Aug 2026), with no numbers attached.

Business mix & capacity. Domestic/export split not disclosed. The own business sells almost entirely in India (railways, a pollution board, temple trust); the trading arms sit in Dubai and Singapore. Capacity utilisation not disclosed.

3. Earning trigger thesis

The real earning engine is railway electronics. MIC has been collecting product approvals from the railways' design body (RDSO) and coach factories, and each one opens a new line of repeat orders: roof-mounted AC controllers for LHB coaches (approval Oct 2025, first order Dec 2025), GPS-based public address and passenger information systems (approval Dec 2024, first order Feb 2026), plus the next-generation station information system IPIS v2.0 under development. The second story is the Neo Semi purchase, which management sells as a semiconductor-to-recycling ecosystem with operating margins of 25% "over the medium term". So far it mostly adds trading revenue.

Trigger	What management said	Evidence so far	Time horizon	Strength
Railway display and info-system orders	Core business, IPIS v2.0 the "flagship rollout"	Standalone sales up about two-fifths in FY26 and doubled in Q2 FY27; a steady stream of small station orders (mostly ₹1-4 cr each)	Now	Moderate: real, but orders are small and paid very slowly
New approved products (AC controllers, PAPIS)	First orders mark "commencement of commercial supplies"	First orders received; no sales figure given	FY27-28	Unproven
Neo Semi acquisition	Backward and forward integration, margin target of 25%	59% done by share swap; adds commodity trading with a small loss this quarter	Medium term	Weak: trading revenue, not profit
Defence electronics subsidiary	Incorporated Aug 2026	₹1 lakh paid-up, no business yet	Unknown	Unproven

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Loans roughly flat; the credit-rating upgrade (BB to BBB-, Aug 2026) came from better performance, not repayment.
New business	Yes	"The order marks the commencement of commercial supplies for this product category" (first RMPU order, 9 Dec 2025; first PAPIS order, 3 Feb 2026). Neo Semi became a subsidiary (4 Sep 2026).
Margin up	No	Margin fell in Q2 FY27.
New management	No	Independent director changes only.

New capacity	No	Not mentioned.
Big orders	No	Orders are frequent but small; no order book disclosed.
Turnaround	No	The insolvency-era turnaround is older than this period.
Promoter buying	No	Promoter stake fell from 74.6% to 41.7%.

Single concrete driver: new railway electronics products (AC controllers and GPS passenger information systems) moving from approval to first orders, on top of the station display boards.

3c. Margin bridge

Standalone operating margin was about 23% in Q2 FY27 against about 31% a year ago. Material costs rose far faster than sales as the company built stock and shipped a larger, more material-heavy batch of orders. With no call, management hasn't said whether this lasts. The FY26 net loss was a one-off tax write-off. (unclear: no management comment)

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Jul 2025	Preliminary MoU to acquire Neo Semi	Board approved 89.65% in Mar 2026; 59% done in Sep 2026, cash leg still pending	Partly
Oct 2025 / Dec 2024	RDSO approvals for AC controllers and PAPIS to turn into orders	First orders came within two to fourteen months	Delivered
Feb 2026	MoU to take a stake in Refit Global	Deferred in Mar 2026 as terms weren't agreed	Dropped (for now)
FY26 MD&A (Jul 2026)	"Bring receivable days back down"	Too early; receivables rose again with Q2 sales	Too-early
FY26 MD&A	"Turn the operating momentum ... into a bottom line"	H1 FY27 standalone net profit ₹5.4 cr vs ₹3.9 cr	On track

Narrative drift. The story has widened fast: from a railway display maker to a semiconductor, AI energy, refurbishing and now defence group inside about a year, each piece announced through MoUs. The railway core has held up and grown. The add-ons are mostly paper so far and came with heavy dilution. No earnings calls means investors can't question any of it.

5. Bottom line

Durable earning trigger? → MAYBE

The railway electronics business is real and growing, and the new approved products give it more to sell to the same customer. But orders are small, customers pay after more than a year, and the headline growth now comes from low-margin trading and an acquisition that hasn't shown profit.

Management consistent? → MAYBE

Product approvals did turn into orders as promised. The deal-making is a different matter: one MoU deferred, the main acquisition still half-paid, and big margin talk with no numbers to check. No concalls makes it hard to hold them to anything.

6. Checkpoints for next quarter

- Cash payment for the rest of the Neo Semi stake is completed
- Own-business sales keep growing without debtor days rising further
- IPIS v2.0 gets railway approval or a first order

This is not investment advice. Do your own due diligence.